Government of Tamilnadu

Department of Employment and Training

Course : TNPSC Group I Mains Material

Subject : Indian Economy

Topic : Public Finance

© Copyright

The Department of Employment and Training has prepared the TNPSC Group-I Preliminary and Main Exam study material in the form of e-content for the benefit of Competitive Exam aspirants and it is being uploaded in this Virtual Learning Portal. This e-content study material is the sole property of the Department of Employment and Training. No one (either an individual or an institution) is allowed to make copy or reproduce the matter in any form. The trespassers will be prosecuted under the Indian Copyright Act.

It is a cost-free service provided to the job seekers who are preparing for the Competitive Exams.

Commissioner,

Department of Employment and Training.

PUBLIC FINANCE

PUBLIC FINANCE

Public finance is a study of the financial aspects of Government. It is concerned with the revenue and expenditure of the public authorities and with adjustment of the one to the other.

Adam Smith

"Public finance is an investigation into the nature and principles of the state revenue and expenditure". Public Finance' includes five major sub-divisions,

1. Public Revenue

Public revenue deals with the methods of raising public revenue such as tax and non-tax, the principles of taxation, rates of taxation, impact, incidence and shifting of taxes and their effects.

2. Public Expenditure

This part studies the fundamental principles that govern the Government expenditure, effects of public expenditure and control of public expenditure.

3. Public Debt

Public debt deals with the methods of raising loans from internal and external sources. The burden, effects and redemption of public debt fall under this head.

4.Financial Administration

Financial administration deals with the study of the different aspects of public budget. The budget is the Annual master financial plan of the Government. The various objectives and steps in preparing a public budget, passing or sanctioning, allocation evaluation and auditing fall within financial administration.

5. Fiscal Policy

Taxes, subsidies, public debt and public expenditure are the instruments of fiscal policy.

Public finance and Private finance similarities and dissimilarities

Public finance deals with study of income, expenditure, borrowing and financial administration of the government And Private finance is the study of income,

expenditure, borrowing and financial administration of individual or private companies.

SIMILARITIES

1. Rationality

Both public finance and private finance are based on rationality. Maximization of welfare and least cost factor combination underlie both.

2. Limit to borrowing

Both have to apply restraint with regard to borrowing. The Government also cannot live beyond its means. There is a limit to deficit financing by the state also.

3. Resource utilisation

Both the private and public sectors have limited resources at their disposal. So, both attempts to make optimum use of resources.

4. Administration

The effectiveness of measures of the Government as well as private depends on the administrative machinery. If the administrative machinery is inefficient and corrupt it will result in wastages and losses.

DISSIMILARITIES

1. Income and Expenditure adjustment

The government adjusts the income to the expenditure while individuals adjust their expenditure to the income. Private finance involves stitching coat according to cloth available whereas public finance decides the cloth according to the need for the coat.

2. Borrowing

The government can borrow from internal and external sources; it can borrow from the people by issuing bonds. However, an individual cannot borrow from himself.

3. Right to print currency

The government can print currency. This involves the creation, distribution and monitoring of currency. The private sector cannot create currency.

4. Present vs Future decisions

The public finance is more involved with future planning and making long-term decisions. These investments could include building of schools, hospitals and infrastructure. The private finance makes financial decisions on projects with a short-term vision.

5. Objective

The public sector's main objective is to provide social benefit in the economy. The private sector aims to maximize personal benefit i.e. Profit.

6. Coercion to get revenue

The sources of income of a private individual is relatively limited while those of the Government is wide. The Government can use its power and authority.

7. Ability to make huge and deliberate changes

The public finance has the ability to make big decisions on income. For example, it can effectively and deliberately adjust the revenue. But individuals cannot make such massive decisions.

Public Revenue

The Government has to perform several functions for the welfare of the people. They involve substantial amount of public expenditure which can be financed only through public revenue. The amount of public revenue to be raised depends on the necessity of public expenditure and the people's ability to pay. The income of the government through all sources is called public income or public revenue.

SOURCES OF PUBLIC REVENUE

Public revenue can be classified into two types.

1. Tax revenue
2. Non tax revenue

TAX REVENUE

A Tax is a compulsory contribution imposed by public authority, irrespective of the exact amount of service rendered to the tax payer in return and not imposed as a penalty for any legal offence.

Characteristics of Tax

1. A tax is a compulsory payment made to the government. People on whom a tax is imposed must pay the tax. Refusal to pay the tax is a punishable offence.
2. There is no quid pro quo between a tax payer and public authorities. This means that the tax payer cannot claim any specific benefit against the payment of a tax.
3. Every tax involves some sacrifice on part of the tax payer.

4. A tax is not levied as a fine or penalty for breaking law.

Some of the tax revenue sources are

1. Income tax

Tax on personal income of the individuals, Hindu undivided family, partnership firm.

2. Corporate tax

Levied on company profit income also called income tax.

3. Customs and excise duty

Tax on export and import of commodities & tax on production of commodities.

4. Surcharge

Surcharge is an additional charge or tax levied on an existing tax. Unlike a cess, which is meant to raise revenue for a temporary need, surcharge is usually permanent in nature. It is levied as a percentage on the income tax payable as per normal rates.

5. Cess

A cess imposed by the central government is a tax on tax, levied by the government for a specific purpose. Generally, cess is expected to be levied till the time the government gets enough money for that purpose.

NON-TAX REVENUE

The revenue obtained by the government from sources other than tax is called Non-Tax Revenue.

The sources of non-tax revenue are

1. Fees

Fees are another important source of revenue for the government. A fee is charged by public authorities for rendering a service to the citizens. Unlike tax, there is no compulsion involved in case of fees. The government provides certain services and charges certain fees for them. For example, fees are charged for issuing of passports, driving licenses, etc.

2. Fine

A fine is a penalty imposed on an individual for violation of law. For example, violation of traffic rules, payment of income tax after the stipulated time etc.

3. Earnings from Public Enterprises

The Government also gets revenue by way of surplus from public enterprises. Some of the public sector enterprises do make a good amount of profits. The profits or dividends which the government gets can be utilized for public expenditure.

4. Special assessment of betterment levy

It is a kind of special charge levied on certain members of the community who are beneficiaries of certain government activities or public projects. For example, due to a public park or due to the construction of a road, people in that locality may experience an appreciation in the value of their property or land.

5. Gifts, Grants and Aids

A grant from one government to another is an important source of revenue in the modern days. The government at the Centre provides grants to State governments and the State governments provide grants to the local government to carry out their functions. Grants from foreign countries are known as Foreign Aid. Developing countries receive military aid, food aid, technological aid, etc. from other countries.

6.Escheats

It refers to the claim of the state to the property of persons who die without legal heirs or documented will.

CANONS OF TAXATION

The characteristics or qualities which a good tax should possess are described as canons of taxation. It must be noted that canons refer to the qualities of an isolated tax and not to the tax system as a whole. A good tax system should have a proper combination of all kinds of taxes having different canons.

According to Adam Smith, there are four canons or maxims of taxation. They are as follows:

1. Canon of Ability

The Government should impose tax in such a way that the people have to pay taxes according to their ability. In such case a rich person should pay more tax compared to a middle-class person or a poor person.

2. Canon of Certainty

The Government must ensure that there is no uncertainty regarding the rate of tax or the time of payment. If the Government collects taxes arbitrarily, then these will adversely affect the efficiency of the people and their working ability too.

3. Canon of Convenience

The method of tax collection and the timing of the tax payment should suit the convenience of the people. The Government should make convenient arrangement for all the tax payers to pay the taxes without difficulty.

4. Canon of Economy

The Government has to spend money for collecting taxes, for example, salaries are given to the persons who are responsible for collecting taxes. The taxes, where collection costs are more are considered as bad taxes. Hence, according to Smith, the Government should impose only those taxes whose collection costs are very less and cheap.

DIRECT TAX AND INDIRECT TAX

Comparison Chart

Basis for Comparison	Direct Tax	Indirect Tax
Meaning	Direct tax is referred to as the tax, levied on person's income and wealth and is paid directly to the government.	Indirect Tax is referred to as the tax, levied on a person who consumes the goods and services and is paid indirectly to the government.
Nature	Progressive	Regressive
Incidence and Impact	Falls on the same person.	Falls on different persons.
Tax base	Income or wealth of the assess	Purchase/sale/manufacture of goods and provision of services
Evasion	Tax evasion is possible.	Tax evasion is hardly possible because it is included in the price of the

		goods and services.
Inflation	Direct tax helps in controlling the inflation.	Indirect taxes push up price inflation.
Imposition and collection	Imposed on and collected from assesses, i.e. Individual, HUF (Hindu Undivided Family), Company, Firm etc.	Imposed on and collected from consumers of goods and services but paid and deposited by the assess.
Burden	Cannot be shifted.	Can be shifted

GST (Goods and Service Tax)

GST is an Indirect Tax which has replaced many Indirect Taxes in India. The Goods and Service Tax Act was passed in the Parliament on 29th March 2017. The Act came into effect on 1st July 2017; Goods & Services Tax in India is a comprehensive, multi-stage, destination-based tax that is levied on every value addition. Goods and Service Tax (GST) is an indirect tax levied on the supply of goods and services. GST is one indirect tax for the entire country. Under the GST regime, the tax will be levied at the final point of sale. In case of intra-state sales, Central GST and State GST will be charged. Inter-state sales will be chargeable to Integrated GST. The first state ratified the GST is Assam and First state to pass the state GST bill is Telangana.

Destination Based

Consider goods manufactured in Tamil Nadu and are sold to the final consumer in Karnataka. Since Goods & Service Tax is levied at the point of consumption, in this case, Karnataka, the entire tax revenue will go to Karnataka and not Tamil Nadu.

Tax slab

Tax slabs are 0%,5%,12%,18%,28%

Components of GST

The component of GST is of 3 types. They are: CGST, SGST & IGST.

CGST: Collected by the Central Government on an intra-state sale (E.g. Within state/ union territory)

SGST: Collected by the State Government on an intra-state sale (E.g. Within state/ union territory)

IGST: Collected by the Central Government for inter-state sale (E.g. Maharashtra to Tamil Nadu)

In most cases, the tax structure under the new regime will be as follows:

Transaction	New Regime	Old Regime	
Sale within the State	CGST + SGST	VAT + Central Excise/Service tax	Revenue will be shared equally between the Centre and the State
Sale to another State	IGST	Central Sales Tax + Excise/Service Tax	There will only be one type of tax (central) in case of inter-state sales. The Centre will then share the IGST revenue based on the destination of goods.

Nature of Sales tax, VAT and GST

1. Sales tax was multipoint tax with cascading effect.
2. VAT was multipoint tax without cascading effect.
3. GST is one-point tax without cascading effect.

Composition scheme

The composition scheme is an alternative method of tax levy under GST designed to simplify compliance and reduce compliance costs for small taxpayers. The main feature of this scheme is that the business or person who has opted to pay tax under this scheme can pay tax at a flat percentage of turnover every quarter, instead of paying tax at normal rate every month.

Applicable limit:

1. The manufacturers or traders whose taxable business turnover is up to ₹1.5 crore (₹75 lakh in case of North-Eastern States). The applicable tax rates under the composition scheme are 1 per cent (0.5 per cent Central GST and 0.5 per cent State GST) of turnover in case of manufacturers and traders.
2. A service provider can opt for the scheme if his taxable turnover is up to ₹50 lakh. But there are strings attached. The applicable tax rates under composition scheme are 5 per cent in the case of restaurants (not serving alcohol) and 6 per cent for other service providers. The tax is to be paid from tax payer's own pocket without charging it to the customer.

Not applicable:

1. Businesses with inter-State supplies.
2. Manufacturers of ice cream.
3. Pan masala and tobacco.
4. e-commerce players

Advantages of GST

1. GST will mainly remove the cascading effect on the sale of goods and services. Removal of cascading effect will directly impact the cost of goods. Since tax on tax is eliminated in this regime, the cost of goods decreases.
2. GST is also mainly technologically driven. All activities like registration, return filing, application for refund and response to notice need to be done online on the GST Portal. This will speed up the processes.

Disadvantages of GST

1. Increased costs due to software purchase
2. Being GST-compliant
3. GST will mean an increase in operational costs
4. GST came into effect in the middle of the financial year
5. GST is an online taxation system
6. SMEs will have a higher tax burden

PUBLIC EXPENDITURE

Public expenditure can be defined as, "The expenditure incurred by public authorities like central, state and local governments to satisfy the collective social wants of the people is known as public expenditure".

Causes for the Increase in Government Expenditure

The modern state is a welfare state. In a welfare state, the government has to perform several functions viz Social, economic and political. These activities are the cause for increasing public expenditure.

1. Population Growth

During the past 67 years of planning, the population of India has increased from 36.1 crore in 1951, to 121 crore in 2011. The growth in population requires massive investment in health and education, law and order, etc. Young population requires

increasing expenditure on education & youth services, whereas the aging population requires transfer payments like old age pension, social security & health facilities.

2. Defence Expenditure

There has been enormous increase in defence expenditure in India during planning period. The defence expenditure has been increasing tremendously due to modernisation of defence equipment. The defence expenditure of the government was 10,874 crores in 1990-91 which increased significantly to 2,95,511 crores in 2018-19.

3. Government Subsidies

The Government of India has been providing subsidies on a number of items such as food, fertilizers, interest on priority sector lending, exports, education, etc. Because of the massive amounts of subsidies, the public expenditure has increased manifold. The expenditure on subsidies by central government in 1990-91 was 9581 crores which increased significantly to 2, 29,715.67 crores in 2018-19. Besides this, the corporate sectors also receive subsidies (incentives) of more than 5 lakh crores.

4. Debt Servicing

The government has been borrowing heavily both from the internal and external sources, as a result, the government has to make huge amounts of repayment towards debt servicing. The interest payment of the central government has increased from 21,500 crores in 1990-91 to 5, 75,794 crores in 2018-19.

5. Development Projects

The government has been undertaking various development projects such as irrigation, iron and steel, heavy machinery, power, telecommunications, etc. The development projects involve huge investment.

PUBLIC DEBT

The debt is the form of promises by the Treasury to pay to the holders of these promises a principal sum and in most instances interest on the principal. Borrowing is resorted to in order to provide funds for financing a current deficit.

Types of Public Debt

1. Internal public debt

An internal public debt is a loan taken by the Government from the citizens or from different institutions within the country. An internal public debt only involves transfer of wealth.

The main sources of internal public debt are as follows:

1. Individuals, who purchase government bonds and securities;
2. Banks, both private and public, buy bonds from the Government.
3. Non-financial institutions like UTI, LIC, GIC etc. also buy the Government bonds.
4. Central Bank can lend the Government in the form of money supply. The Central Bank can also issue money to meet the expenditures of the Government.

2. External public debt

When a loan is taken from abroad or from an international organisation it is called external public debt. The main sources of External public debt are IMF, World Bank, IDA and ADB etc. Loan from other countries and the Governments.

Causes for the Increase in Public debt

The causes for enormous growth of public debt may be studied under the following sub-headings:

1. War and Preparation of war

Waging war has become one of the important causes for incurring debts by the governments. In modern times, the preparation for war and nuclear defence programmes take away the major share of the government's revenue and so it incurs debt.

2. Social obligations

Modern states are considered to be 'Welfare States' and they have to undertake many social obligations like public health, sanitation, education, insurance, transport and communications, etc., besides providing the minimum necessaries of life to the citizen of the country. To finance this the state has incur heavy debt.

3. Economic development and deficit

The government has to undertake many projects for economic development of the country. Construction of railways, power projects, irrigation projects, heavy industries etc., could be thought of only by means of mobilising resources in the public debt. Due to heavy public expenditure, the government always face deficit budget. Such a deficit has to be financed only thorough borrowings.

4. Employment

Most of the governments of modern days face problem of unemployment and it has become the duty to solve this by making huge expenditure. To solve the unemployment problem, and to fight recession, the government has to make huge expenditures. For this the states have to resort to public debt.

5. Controlling inflation

The Government can withdraw excess money from circulation, by raising public debt and thus prevent prices from rising.

6. Fighting depression

During the depression phase, private investment is lacking. The Government applies compensatory public spending by borrowing from internal and external sources.

Methods of Redemption of Public Debt

The process of repaying a public debt is called redemption. The Government sells securities to the public and at the time of maturity, the person who holds the security surrenders it to the Government. The following methods are adopted for debt redemption.

1. Sinking Fund

Under this method, the Government establishes a separate fund known as “Sinking Fund”. The Government credits every year a fixed amount of money to this fund. By the time the debt matures, the fund accumulates enough amount to pay off the principal along with interest.

2. Conversion

Conversion of loans is another method of redemption of public debt. It means that an old loan is converted into a new loan. Under this system a high interest public

debt is converted into a low interest public debt. The debt conversion actually relaxes the debt burden.

3. **Budgetary Surplus**

When the Government presents surplus budget, it can be utilised for repaying the debt. Surplus occurs when public revenue exceeds the public expenditure. However, this method is rarely possible.

4. **Terminal Annuity**

In this method, Government pays off the public debt on the basis of terminal annuity in equal annual instalments. This is the easiest way of paying off the public debt.

5. **Repudiation**

It is the easiest way for the Government to get rid of the burden of payment of a loan. In such cases, the Government does not recognise its obligation to repay the loan. It is certainly not paying off a loan but destroying it. However, in normal case the Government does not do so; if done it will lose its credibility.

FINANCE COMMISSION

Finance commission is a quasi-judicial body set up under Article 280 of the Indian Constitution. It was established in the year 1951, to define the fiscal relationship framework between the Centre and the state.

Aim

Finance Commission aims to reduce the fiscal imbalances between the centre and the states (Vertical imbalance) and also between the states (horizontal imbalance). It promotes inclusiveness.

Composition

The Finance Commission consists of a chairman and four other members to be appointed by the president. They hold office for such period as specified by the president in his order. They are eligible for re-appointment. The Parliament has specified the qualifications of the chairman and members of the commission. The chairman should be a person having experience in public affairs and the four other members should be selected from amongst the following:

1. A judge of high court or one qualified to be appointed as one.
2. A person who has specialised knowledge of finance and accounts of the government.
3. A person who has wide experience in financial matters and in administration.
4. A person who has special knowledge of economics.

A Finance Commission is set up once in every 5 years. It is normally constituted two years before the period. It is a temporary Body.

The 14th Finance Commission was set up in 2013. Its recommendations were valid for the period from 1st April 2015 to 31st March 2020.

The 15th Finance Commission has been set up in November 2017. Its recommendations will be implemented starting 1 April 2020.

Finance Commission	Year of establishment	Chairman	Operational duration
First	1951	K. C. Neogy	1952–57
Second	1956	K. Santhanam	1957–62
Third	1960	A. K. Chanda	1962–66
Fourth	1964	P. V. Rajamannar	1966–69
Fifth	1968	Mahaveer Tyagi	1969–74
Sixth	1972	K. Brahmananda Reddy	1974–79
Seventh	1977	J. M. Shelat	1979–84
Eighth	1983	Y. B. Chavan	1984–89
Ninth	1987	N. K. P. Salve	1989–95
Tenth	1992	K. C. Pant	1995–2000
Eleventh	1998	A. M. Khusro	2000–05
Twelfth	2002	C. Rangarajan	2005–10
Thirteenth	2007	Dr. Vijay L. Kelkar	2010–15
Fourteenth	2013	Dr. Y. V Reddy	2015–20
Fifteenth	2017	N. K. Singh	2020–25

Functions of Finance Commission of India

Article 280 (3) speaks about the functions of the Finance Commission. The Article states that it shall be the duty of the Commission to make the recommendations to the President as to:

1. The distribution between the Union and the States of the net proceeds of taxes, which may be divided between them and the allocation among the states of the respective shares of such proceeds.
2. To determine the quantum of grants-in-aid to be given by the Centre to states [Article 275 (1)] and to evolve the principles governing the eligibility of the state for such grant-in-aid.
3. Any other matter referred to the Commission by the President of India in the interest of sound finance. Several issues like debt relief, financing of calamity relief of states, additional excise duties, etc. have been referred to the Commission invoking this clause.

FISCAL POLICY

The term fiscal policy refers to a policy under which the Government uses its expenditure and revenue programmes to produce desirable effects and avoid undesirable effects on the national income, production and employment.

Fiscal Instruments

Fiscal Policy is implemented through fiscal instruments also called 'fiscal tools' or fiscal levers: Government expenditure, taxation and borrowing are the fiscal tools.

1. Taxation:

Taxes transfer income from the people to the Government. Taxes are either direct or indirect. An increase in tax reduces disposable income. So, taxation should be raised to control inflation. During depression, taxes are to be reduced.

2. Public Expenditure:

Public expenditure raises wages and salaries of the employees and thereby the aggregate demand for goods and services. Hence public expenditure is raised to fight recession and reduced to control inflation.

3. Public debt:

When Government borrows by floating a loan, there is transfer of funds from the public to the Government. At the time of interest payment and repayment of public debt, funds are transferred from Government to public.

Objectives of Fiscal Policy:

The Fiscal Policy is useful to achieve the following objectives:

1. **Full Employment**

   Full Employment is the common objective of fiscal policy in both developed and developing countries. Public expenditure on social overheads help to create employment opportunities. In India, public expenditure on rural employment programmes like MGNREGS is aimed at employment generation.

2. **Price Stability**

   Price instability is caused by mismatch between aggregate demand and aggregate supply. Inflation is due to excess demand for goods. If excess demand is caused by Government expenditure in excess of real output, the most effective measure is to cut down public expenditure. Taxation of income is the best measure if excess demand is due to private spending. Taxation reduces disposable income and so aggregate demand. To fight depression, the Government needs to increase its spending and reduce taxation.

3. **Economic Growth**

   Fiscal Policy is used to increase the productive capacity of the economy. Tax is to be used as an instrument for encouraging investment. Tax holidays and tax rebates for new industries stimulate investment. Public sector investments are to be increased to fill the gap left by private investment. When resource mobilization through tax measures is inadequate, the Government resorts to borrowing both from internal and external sources to finance growth projects.

4. **Equitable distribution**

   Progressive rates in taxation help to reduce the gap between rich and poor. Similarly, progressive rates in public expenditure through welfare schemes such as free education, noon meal for school children and subsidies promote the living standard of poor people.

5. Exchange Stability

Fluctuations in international trade cause movements in exchange rate. Tax concessions and subsidy to export oriented units help to boost exports. Customs duties on import of non-essential items help to cut import bill. The reduction in import duty on import of raw material and machinery enables reduction in cost and make the exports competitive.

Questions:

1. Define Public finance. Explain the sources of revenues briefly.
2. Describes the difference between direct and indirect taxes.
3. Brief notes about GST
4. What is public expenditure? Gives details about classification of public expenditure.
5. What is public debt? Causes for public debt and measures of redemption of public debt.
6. State and explain instruments and objectives of fiscal policy.

GOVERNMENT OF TAMILNADU
TRUTH ALONE TRIUMPHS